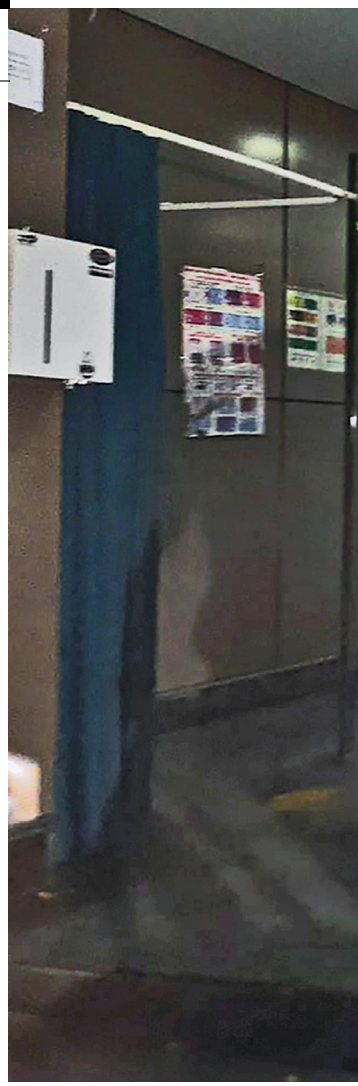
INDIA'S BIGGEST BANKING FRAUD

The inside story of how Rishi Agarwal of ABG Shipyard allegedly misappropriated Rs 22,842 crore in loans from a consortium of 28 Indian banks

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PTI

IN 2009, an interesting battle for supremacy in India's shipbuilding and offshore business was being waged in Mumbai. On one side was India's second largest shipbuilder, Bharati Shipyard, founded in 1973 by friends Prakash C. Kapoor and Vijay Kumar. On the other side was the fast-growing ABG Shipyard, promoted by Rishi Agarwal, a Purdue University graduate and first-time entrepreneur. The contest was for control of Great Offshore, a supplier of rigs used in offshore drilling and an arm of the Great Eastern Shipping Company.

Agarwal placed an unsolicited bid for Great Offshore as a counter to an ongoing open offer from Bharati Shipyard, making the business world sit up and take notice. While Bharati secured a controlling stake in Great Offshore, Agarwal picked up a 15 per cent stake. The aggressive bids would go down as one of the fiercest corporate battles in the Indian shipping sector.

ABG Shipyard was India's number one shipbuilder then, with a swelling order book (Rs 16,000 crore in 2012). It's another story that both the shipbuilders slipped deep into debt soon after, undertook debt-restructuring exercises—where negotiations are done with lenders for reduced interest rates—and before the end of the next decade lost control of their companies. Great Offshore itself, renamed GOL Offshore, shut down operations in 2018 after a failed debt-restructuring exercise.

A little over a decade since the Great Offshore battle, Agarwal, a nephew of Ruia brothers Shashi and Ravi of the Es-